October 28, it would fall another 13 percent, and on October 29 another 12 percent. A month after this declaration was printed in the *New York Times*, Fisher went broke and the Dow had lost almost half its value prior to the crash.[30]

Similar thinking characterized the tech-and-telecom boom in the late 1990s and early 2000s. As eloquently described by Chancellor:

> The 1990s bull market was accompanied by the reappearance of a new era ideology similar to that of the 1920s. Known as the "new paradigm," or the "Goldilocks economy" (like the porridge in the fairy tale it was neither too hot nor too cold), the theory suggested that the control of inflation by the Federal Reserve, the decline in the federal deficit, the opening of global markets, the restructuring of corporate America, and the widespread use of information technology to control inventory stock levels had combined to do away with the business cycle. Point for point, this was a reiteration of the new era philosophy of Irving Fisher's day.[31]

Similar to the 1920s, in the 1990s stock analysts and investment managers rationalized the expensive markets with the claim that the old methods of valuing companies no longer applied. There were new methods that justified the nosebleed prices.[32]

The Same Patterns Persist

The idea of valuation, which we will tackle in the next chapters, is a particularly challenging one for cryptoassets. Since they are a new asset class, they cannot be valued as companies are, and while valuing them based on supply and demand characteristics like that of commodities has some validity, it doesn't quite suffice. As a result, we predict that as